

Supplier Reliability and the Denver Opening

A Multi-Source Document Intelligence Brief

Company: GreenThreads (sustainable apparel) | Function: Operations

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Sources

- S1. Song Hong Apparel Co., Ltd. (2026, July 24). Purchase Order Confirmation SH-2291, Bamboo Joggers (Denver Opening). Correspondence from Linh Tran, Export Sales, to GreenThreads Procurement.
- S2. GreenThreads Operations. Standard Operating Procedure OPS-04, Inbound Shipment Receiving & Inspection, Version 2.1.
- S3. Song Hong Apparel Co., Ltd. and GreenThreads, Inc. (2025). Master Supply Agreement, selected terms, §§4–9.
- S4. GreenThreads Operations. GT_Ops_Inbound_Shipments, inbound purchase order record, 96 orders across four suppliers.

1. Purpose and the Decision This Feeds

Our Functional Brief ranked predicting high-risk shipments and scoring supplier reliability as the top AI opportunities for GreenThreads Operations, because the function goal this quarter is getting the launch products onto the Denver sales floor on time. This brief applies that lens to the first real Denver order, SH-2291, using the three documents that govern it plus our shipment record. The decision it feeds is narrow and time-sensitive: whether SH-2291 as confirmed is safe to leave alone, or whether it must be escalated while the only contractual remedy, cancellation before dispatch, is still available.

2. Sources at a Glance

Classifying the four sources first exposes the core problem. The master agreement is legally binding, but it provides GreenThreads little protection from delay. OPS-04 is the only source that creates a proactive internal control GreenThreads can apply before dispatch.

Source	Document type	Authorship / interest	Binding force
S1 – PO Confirmation SH-2291	Transactional correspondence	Supplier, seller interest	Non-binding assurance
S2 – SOP OPS-04 v2.1	Internal process control	GreenThreads Operations	Internally mandatory
S3 – Master Supply Agreement	Contract (excerpt)	Bilateral, supplier-favorable	Legally binding
S4 – Inbound shipments dataset	Performance record	GreenThreads Operations	Evidentiary

Source	Key extracted facts	Supporting language
S1	PO SH-2291, Bamboo Joggers, 950 units, promised 3 Oct 2026 to Denver, 71-day quoted lead time.	“does not anticipate any issues meeting the October 3 date”; facility “at peak seasonal capacity through late September”; transit “18–22 days from the date the container is loaded.”
S2	Plan backward from the in-store date; late suppliers require a buffer; inspect on receipt; log variances the same day.	“confirm the required in-store date and work backward”; “minimum two-week buffer”; a promised date is “a planning input, not a guarantee.”
S3	§4 dates are estimates; §5 delay causes excused; §6 no penalty, remedy is cancellation before dispatch; §9 $\pm 2\%$ quantity tolerance.	“good-faith estimates and are not guarantees”; “no liquidated damages, price reduction, or penalty”; remedy “limited to cancellation ... prior to dispatch.”
S4	96 orders: 80 received, 16 in transit. Of received orders, 57 (71.3%) were late, 23 were on time, and none arrived early. Song Hong: 12 received, all late; mean 12.1 days late, worst 19; 3 in transit.	Computed from Status, Promised_Date, Actual_Receipt_Date and Days_Late fields.

3. Cross-Source Synthesis

Themes

Across all four sources, a promised delivery date is an estimate rather than a commitment, and both parties have written that down. OPS-04 calls a promised date “a planning input, not a guarantee,” and the master agreement calls confirmed dates “good-faith estimates and are not guarantees.” The shipment record confirms the pattern empirically: among the 80 received orders, 57 (71.3 percent) arrived late, 23 arrived on the promised date, and none arrived early.

Delay risk sits almost entirely with GreenThreads. Section 5 excuses the supplier for delays from production capacity, quality-inspection outcomes, and ocean-freight scheduling, which correspond directly to risks disclosed in the supplier confirmation, and section 6 removes any financial consequence. The practical result is that GreenThreads absorbs the cost of a missed opening while the supplier absorbs none of it.

Contradictions

The sharpest contradiction is between the confirmation and the contract governing it. Song Hong writes that it “does not anticipate any issues meeting the October 3 date,” while the same parties’ agreement holds that such dates “are good-faith estimates and are not guarantees” and attaches no penalty for missing them. The reassurance is a sales email; the enforceable terms disclaim it. The letter also undercuts itself, promising comfortable delivery while disclosing the facility is “operating at peak seasonal capacity through late September” and that transit runs “18–22 days from the date the container is loaded,” which forces a mid-September load inside that same crunch.

The contract also conflicts with itself on remedy. Section 6 limits our recourse to “cancellation of the affected purchase order prior to dispatch,” while section 7 gates dispatch on the supplier’s own pre-shipment inspection, which is where a delay of this kind first becomes visible. The window in which we can act closes at almost the same moment the problem becomes knowable. The shipment record clearly establishes that Song Hong has a late-delivery history, so the OPS-04 buffer rule applies. However,

because the required Denver in-store date is missing from the document set, SH-2291's compliance with that rule cannot yet be verified. The immediate control failure is therefore the absence of the date needed to perform the test.

Gaps

The most consequential gap is that no document states the date Denver needs the goods in store, which is the input OPS-04 begins with when it instructs the team to "confirm the required in-store date and work backward." Without it the SOP cannot be executed or tested, and it lives in the Denver launch plan held by leadership. SH-2291 also carries no milestone before its final date, with tracking deferred until "once the vessel is confirmed," so a slip can only be discovered late rather than managed early; we would request the ex-factory and container-load dates at confirmation. Two rules are missing outright as well: OPS-04 never defines what counts as a documented late-delivery history, and the agreement sets no on-time target, scorecard, or notice deadline. The first is a local rule we can write from the shipment data; the second is a contract renegotiation.

As a supplementary check, we compared S3 against a publicly filed commercial supply agreement on the SEC EDGAR database, which sets an explicit 95-percent on-time delivery metric and a formal supplier scorecard process. We verified that the filing loads and contains those provisions. The comparison is directional because the filing is neither contemporary nor apparel-specific, but it demonstrates that commercial supply agreements can include measurable delivery targets, supplier scorecards, and formal review processes. It therefore supports treating those provisions as negotiable controls that are absent from S3.

4. Actionable Insights

1. Re-plan Denver using approximately 15 October as the risk-adjusted planning scenario rather than treating 3 October as the sole planning date. The scenario applies to Song Hong's 12.1-day historical mean delay across 12 completed orders; the supplier's worst observed result would place receipt near 22 October.
2. Test SH-2291 against OPS-04 today and escalate if it fails. Once the required in-store date is confirmed the check is mechanical, and escalation is urgent because our only remedy expires at dispatch.
3. Make the risk visible. Request the ex-factory date, container-load date, and booking reference now and log them as tracked milestones, since the section 6 cancellation right is worthless without warning before dispatch.
4. Write the missing threshold into OPS-04. Define a documented late-delivery history quantitatively, for example any supplier below a set on-time percentage across its trailing orders, so the buffer fires automatically rather than by judgment. The shipment record already supplies the evidence.
5. Raise the contract gaps at the sourcing level. A notice deadline, an on-time target, and any remedy surviving dispatch are renegotiation items, and consistent with the guardrail split in our Functional Brief they belong to company-wide sourcing and legal, not a local Operations rule.

This whole analysis is a compliance check of one purchase order against one SOP and one contract, cross-referenced with historical performance. Doing it by hand for every launch order is exactly the work a shipment-risk model and a supplier reliability score were meant to absorb.

Appendix: Prompts, Tools & Verification

A. Tools and Model Tiers

Extraction, classification, and cross-source synthesis were performed with Claude Opus (Anthropic), used at its powerful reasoning tier rather than a fast tier, because the task required holding four sources in view at once and detecting conflicts between them rather than summarizing any one. The shipment dataset was analyzed with Python 3 and the pandas library, so every supplier statistic was computed exactly rather than estimated by a model.

Independent pressure testing was performed with ChatGPT GPT-5.6 Pro (OpenAI), used as a second reasoning model. The second-model pass independently recalculated the S4 statistics with Python 3 using pandas and openpyxl, reviewed the synthesis for factual grounding and internal consistency against the supplied source passages, and directly verified the cited SEC filing. This pass corrected the Song Hong sample size and received-order denominator, identified SH-2291's buffer compliance as unverified until the required in-store date is obtained, and revised the governance treatment of S4 because the workbook contains supplier and pricing fields.

B. Prompts and Iteration

Stage	Prompt phrasing that worked	What iteration changed
Extraction	"Read only this document. Quote the exact phrase for every delivery, lead-time, and remedy term. For anything not stated, write 'not in document.'"	A plain "summarize the contract terms" invented penalty and on-time clauses that \$4–\$9 do not contain. Requiring a quote per term removed the invented content.
Classification	"Classify each source by type, who authored it and in whose interest, and whether it is binding, internal, or advisory."	The authorship and binding-force dimensions showed that the contract is binding but supplier-favorable, while OPS-04 is GreenThreads' only proactive internal control.
Synthesis	"Give one theme, one contradiction, and one gap per document, and quote the line that proves each."	A general 'compare these' prompt returned surface agreement. Forcing a contradiction surfaced the \$6/\$7 remedy-window problem.
Verification	"Quote the supporting passage for each finding or mark it Unverified. Then re-read the middle and tell me what I missed."	The middle-section instruction recovered \$5 and \$7, which the first pass skipped while over-weighting the opening and closing clauses.

The most useful phrasing across every stage was the instruction to write "not in document" rather than fill a gap. Consistent with Mollick's point in "Thinking Like an AI," the model produces the next plausible sentence rather than retrieving a fact: asked to summarize contract terms in general language, it supplied the penalty and on-time provisions a supply agreement usually contains instead of the ones section 6 actually lacks. The absence was the finding, and only a prompt that made absence a valid answer could surface it.

C. Grounding and Verification

Every material claim was traced to a passage in a named source during the first pass and then pressure-tested by a second model. ChatGPT GPT-5.6 Pro independently recomputed the dataset statistics, reviewed the logical consistency of the findings against the supplied source passages, checked whether inferences were labeled, and verified the external SEC comparison against the primary filing.

Claim	Grounding passage	Source	Status
Supplier gave an unqualified assurance for 3 Oct.	"does not anticipate any issues meeting the October 3 date"	S1	Verified

Claim	Grounding passage	Source	Status
The contract makes that date unenforceable.	“good-faith estimates and are not guarantees”	S3 §4	Verified
No penalty exists for a late shipment.	“no liquidated damages, price reduction, or penalty”	S3 §6	Verified
Buffer is mandatory for late suppliers.	“minimum two-week buffer into the order-by date”	S2	Verified
SH-2291 buffer compliance.	Cannot be tested until the required Denver in-store date is obtained.	S2 + n/a	Unverified
Song Hong has a late-delivery history.	0% on-time across 12 received orders; mean 12.1 days late; maximum 19 days; 3 additional orders in transit	S4	Verified
Projected receipt near 15 Oct.	3 Oct promise plus 12.1-day mean across 12 completed Song Hong orders	S1+S4	Inference
Denver required in-store date.	No passage located in S1, S2, or S3	n/a	Unverified
Container load date scheduled.	No passage; tracking deferred “once the vessel is confirmed”	S1	Unverified

Three items are flagged Unverified and were left unresolved rather than estimated: the Denver required in-store date appears nowhere in the set, the container load date does not exist yet, and SH-2291’s buffer compliance cannot be tested until the required in-store date is obtained. One item is flagged as an inference, the projected 15 October receipt, and is labeled that way wherever it appears. The Claude verification pass also corrected a real omission, since the first reading of S3 under-weighted sections 5 and 7, the middle-of-document failure mode the readings warn about, and those sections held the remedy-window problem that became central to the brief.

D. Data Governance Consideration

Source S3 is a signed supplier agreement, S1 contains unit-level supplier pricing, and S4 contains supplier identities, unit costs, and line costs. None of the full files should be placed in a consumer AI tool. Consistent with the split in our Functional Brief, this is a company-wide executive guardrail rather than a local rule. Executed contracts and supplier pricing should be processed only in a company-approved enterprise AI environment covered by a data processing agreement. For public tools, Operations should use a minimized extract with coded supplier IDs, promised and actual receipt dates, status, and days late, while removing supplier names, pricing, quantities, and other fields not required for reliability scoring.

References

- Mollick, E. (2025). Thinking like an AI. One Useful Thing.
- OpenAI. (2025). Introducing Deep Research.
- U.S. Securities and Exchange Commission. Supply and Purchase Agreement, EDGAR filing (Exhibit 10.25). <https://www.sec.gov/Archives/edgar/data/1381272/000119312506261688/dex1025.htm>